A-Worthy Education

H2 Economics 9570 Study Suite

Document 54

Macro CSQ Practice Set C

Four Case Studies — Question Paper

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Instructions

1. This set contains four case study questions covering core macroeconomic topics.
2. Suggested timing per case study: 45 minutes.
3. Model answers are in Document 55.

Case Study C1 — South Korea: Won Depreciation and the Semiconductor Cycle

Extract C1.1: KRW depreciation, 2022–2024

The Korean won fell from 1,188 KRW/USD in January 2022 to 1,455 KRW/USD by November 2024, a depreciation of approximately 22%. Over the same period, headline CPI rose to a peak of 5.7% in July 2022 before disinflating to 1.5% by mid-2024. The Bank of Korea (BOK) raised its base rate from 1.25% to a peak of 3.50%, before holding.

Extract C1.2: Semiconductor exports

Semiconductors account for 19% of South Korea's total exports. Memory chip prices fell 35% in 2023 amid global oversupply, before recovering in 2024 on AI-driven demand. Samsung and SK Hynix together produce 70% of the world's DRAM. The won depreciation in nominal terms partially offset the dollar-denominated price decline for these firms.

Extract C1.3: Macroeconomic summary

Indicator	2022	2023	2024
Real GDP growth (%)	2.6	1.4	2.2
Current account (% of GDP)	1.4	2.8	4.0
Headline inflation (%)	5.1	3.6	2.4
Unemployment (%)	2.9	2.7	2.8
Household debt (% of GDP)	105.0	100.4	95.1

Questions

(a) Describe two features of South Korea's macroeconomic position in 2024. **[2]**

(b) Using an AD-AS diagram, explain how the won depreciation in Extract C1.1 affects South Korea's price level and real output. **[6]**

(c) Explain why a currency depreciation may improve the current account in the long run but worsen it in the short run. **[4]**

(d) To what extent has the BOK rate increase been effective in stabilising South Korea's price level? **[8]**

(e) Discuss the view that South Korea's heavy reliance on semiconductor exports makes its economy structurally vulnerable. **[10]**

Total: 30 marks

Case Study C2 — India: High Growth and Inflation Pressures

Extract C2.1: India's growth story

India's real GDP grew at 8.2% in fiscal year 2023–24, the fastest among major economies. The services sector contributed 53% of GDP. Manufacturing share of GDP, at 17%, remained below the government's 25% target despite a decade of Make-in-India policy.

Extract C2.2: Inflation pressures

Indicator	2022	2023	2024
Headline CPI (%)	6.7	5.7	4.9
Food inflation (%)	6.7	6.6	7.5
Core CPI (%)	6.1	5.0	3.6
RBI repo rate (end-year, %)	6.25	6.50	6.50

Extract C2.3: Structural issues

Despite high headline growth, employment elasticity remained low — every 1% of GDP growth generated only 0.1% of employment growth, well below historical norms. Female labour force participation, at 24%, was among the lowest in Asia. Capital expenditure as a share of GDP rose to 32.5% in 2024, supported by record public infrastructure spending.

Questions

(a) Identify two features of India's growth pattern from Extract C2.1. **[2]**

(b) Explain why food inflation remained elevated even as core CPI moderated. **[4]**

(c) Explain the concept of jobless growth and discuss whether it applies to India. **[6]**

(d) Assess the effectiveness of the Reserve Bank of India's interest-rate policy in addressing the inflation pressures in Extract C2.2. **[8]**

(e) Discuss whether India's growth model is sustainable in the long run. **[10]**

Total: 30 marks

Case Study C3 — Eurozone: Energy Shock and Asymmetric Recovery

Extract C3.1: The energy shock

European natural gas prices (TTF benchmark) rose from EUR 20/MWh in January 2021 to a peak of EUR 339/MWh in August 2022, before easing to EUR 33/MWh by November 2024. Eurozone HICP peaked at 10.6% in October 2022. The ECB raised the deposit rate from −0.50% to a peak of 4.00%, before commencing cuts in mid-2024.

Extract C3.2: Country divergence, 2024

Country	GDP growth (%)	Inflation (%)	Unemployment (%)
Germany	−0.2	2.5	3.5
France	1.1	2.4	7.4
Italy	0.7	1.2	6.5
Spain	3.1	2.9	11.4
Greece	2.3	3.0	9.8

Extract C3.3: Structural challenges

Germany's manufacturing sector, accounting for 18% of GDP, contracted for two consecutive years. Energy-intensive industries (chemicals, steel, automotive) cited high electricity costs (3× US levels) as a binding constraint on competitiveness. Meanwhile, southern Eurozone economies, with energy-light service sectors (tourism, finance, real estate), benefited from lower energy intensity and stronger labour-market growth.

Questions

(a) Describe two features of the Eurozone's recovery from the energy shock from Extract C3.2. **[2]**

(b) Explain how the energy shock in Extract C3.1 produces both cost-push inflation and a contraction in real output. **[6]**

(c) Explain why the ECB faces a sharper trade-off than central banks of countries with diversified energy supply. **[6]**

(d) Discuss whether monetary policy alone is adequate to manage an energy shock of this magnitude. **[8]**

(e) To what extent does the data in Extract C3.2 suggest the Eurozone's single monetary policy is suboptimal for its constituent members? **[8]**

Total: 30 marks

Case Study C4 — Australia: Commodity Prices and the Resource Curse Question

Extract C4.1: Commodity exports

In 2024, iron ore, coal, and LNG together accounted for 51% of Australia's goods exports. Iron ore prices averaged US$117/tonne, down from a peak of US$229/tonne in 2021 but still above the historical mean of US$70/tonne. Mining contributed 14% of Australian GDP but only 2.6% of total employment.

Extract C4.2: Macroeconomic indicators, 2024

Indicator	Value
Real GDP growth (%)	1.4
Headline CPI (%)	3.2
Unemployment (%)	4.1
Current account balance (% of GDP)	1.7
Net debt (% of GDP)	19.7

Extract C4.3: Dutch disease concerns

Australian manufacturing has shrunk from 14% of GDP in 1990 to 5% in 2024. The Australian dollar appreciates with commodity price cycles, eroding competitiveness in non-mining tradeables. The Reserve Bank of Australia (RBA) base rate stood at 4.35% throughout 2024, above peer rates in Canada (3.25%) and the UK (4.75%).

Questions

(a) Identify two features of Australia's external sector from Extract C4.1. **[2]**

(b) Explain the concept of the resource curse with reference to Extract C4.3. **[4]**

(c) Explain how a fall in iron ore prices affects Australia's terms of trade and current account. **[6]**

(d) Discuss the appropriate fiscal-policy response to a commodity-driven external shock. **[8]**

(e) To what extent should Australia diversify away from commodity dependence? **[10]**

Total: 30 marks

End of Document 54.